

I've discussed this many times, but it bears repeating: No one can consistently predict the future with any degree of accuracy. If your investing approach requires that you become Nostradamus to succeed, then you are destined to fail.

You know how costs, fees, and taxes impact your returns

Not too long ago, an acquaintance was bragging about what a great year he was having. And truth be told, his gross returns were impressive.

Then I had him calculate his net returns. Once he figured in his turnover, commissions, and especially taxes, he realized he had an enormous cost structure that ate into his P&L. After all costs, his great gross returns turned into below-market returns.

At the time, I informed him, "My 75-year-old mom bought an S&P 500 tracker last January, paid an \$8 commission (today it would be zero) and forgot about it for the year. She kicked your professional butt." He was not happy about that.

Perhaps we need a corollary rule about active trading: Gross returns don't count, only net returns do.

You can pick fund managers

Yes, we all know who the great fund managers of the past 20 years were, but that's after the fact. What makes you think you have the skill set to evaluate the best ones of the *next 20 years*—their methodology, discipline, character, and ability to express their thesis in investment assets?

Only 1% of fund managers actually earn their fees: Why do you believe that you can pick them out?